MOLENZICHT CC

REGISTRATION NUMBER: [INSERT REGISTRATION NUMBER]

BUSINESS PLAN

CONTACT PERSON: Dr Sebbi Kankondi

PHYSICAL ADDRESS: Swakopmund, Namibia

CONTACT TELEPHONE: +264 85 757 4276

EMAIL ADDRESS: slakslk98@gmail.com

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1 Executive Summary

Molenzicht CC ("Molenzicht") is a repurposed business that will provide mechanically sound second-hand vehicles to drivers on a rent-to-own basis (Section 4). The vehicles will be repaid in instalments from income generated through e-hailing operations (Section 6.3).

The target market consists primarily of unemployed young adults who aspire to operate a vehicle on a ride-hailing platform, but who do not qualify for bank financing and cannot afford the upfront purchase cost or installment repayments associated with vehicles sold by traditional or "order-with-me" second-hand vehicle dealers (Section 5.3).

A phased financing scheme, disbursed in blocks starting with N$250,000 and increasing to a total of N$750,000, is required to fund the initial purchase of 12 vehicles and several operational hardware components. Of this amount, 75% will be provided as member contributions, and the remainder as external investment (Section 3.2).

Molenzicht has two members, namely its founder Mr Sebby Inotila Kankondi ("Mr Sebby") and Dr Sebbi Lenga Agarob Kankondi ("Dr Sebbi"), and an initial two-person operating structure (Section 7.1). Staffing will include one of the owners, who will support the management, operation, and expansion of the business.

Financial performance is forecast to increase over the five years following the commencement of operations, as indicated in the overview of financial projections displayed in Table 1 below. This will allow for the recovery of all member investments within two years and the repayment of all loans within five.

Table 1: Five-year financial projections summary

	Year				
	1	**2**	**3**	**4**	**5**
Gross Revenue (N$)	2,670,000	5,340,000	6,840,000	8,250,000	9,930,000
Gross Profit (N$)	1,440,020	2,880,040	3,689,040	4,449,500	5,355,580
Net Profit (N$)	786,915	1,581,886	2,033,529	2,458,654	2,964,815
Retained Profits for the year (N$)	582,415	1,197,886	1,499,529	1,783,654	2,121,815

**Retained profits for reinvestment into the business.*

2 Company Overview

The company is registered as a Close Corporation (CC) under Namibia's Close Corporations Act with registration number [insert number]. Furthermore, a tax good standing certificate linked to the business income tax identification number [insert number] has been issued to Molenzicht. While the business will not operate from dedicated premises, Windhoek, Namibia, will serve as its main base of operations. In particular, the operation and supervision of all vehicles will primarily be conducted in Windhoek, whereas management will be based in Swakopmund.

This business was originally established by Mr Sebby to manage Airbnb properties in Swakopmund. More recently, a decision was taken to restructure it as a rent-to-own motor vehicle retail business after Dr Sebbi identified the commercial potential of such a venture through the successful rental of two vehicles to drivers operating on the Yango platform over the past six months.

This initial experience suggests an undersupplied market for e-hailing vehicle access in Namibia. Accordingly, Molenzicht aims to provide prospective e-hailing drivers, with limited access to finance, an alternative means for vehicle ownership through rent-to-own arrangements (Section 4). The company projects the sale of a minimum of 85 vehicles and an average supply of 32 vehicles/year within its first five years of operation under this model.

3 Ownership & Investment Structure

3.1 Members & Investor Participation

Mr Sebby will make a capital contribution to the business (see Section 3.2 below). Whereas, Dr Sebbi will form part of the company's two-person staff complement as General Manager, together with an additional staff member who will serve as Operations Supervisor (Section 7.1).

Each co-owner holds a 50% membership interest (Annexure A). This entitles them to an equal share of profits and equal voting rights in relation to key business decisions, including matters concerning finance, operations, expansion, and major business commitments.

3.2 Initial Investment & Funding Requirements

Mr Sebby will invest N$500,000 as his capital contribution in two phases. An initial amount of N$250,000 will be used to commence operations. This will be followed four months later by a further investment of N$250,000, supplemented by bank financing of N$250,000, to support fleet expansion once initial operations have been established and commercial performance has been demonstrated.

Approximately N$244,800 of the total funding will be needed to pay the fixed/auction prices for 12 vehicles sourced from used vehicle export agents in Japan (Table 2). In addition, N$229,500 will be needed to cover the flat rate for shipping from Yokohama, Japan, to Walvis Bay. An amount of N$246,218 will also be needed for further import-related expenses including import duty, VAT, vehicle licensing, insurance, and port handling fees (Table 2). This brings the total, estimated landed cost per car to N$60,043, or 70.6% of the market value of a second-hand 2015 Mazda demio in Namibia.

Table 2: Estimated costs at each step in the vehicle import chain for a second-hand 2015 Mazda demio

Cost Item	Approx US$ per Car	Approx N$ per Car	Total N$ (12 Cars)	Notes
Car FOB	1,200	20,400	244,800	FOB - Free On Board (price of vehicle up to port). Price depends on mileage/condition; auctions price may fluctuate.
Freight	1,125	19,125	229,500	Japan to Walvis Bay. Price per car for 4 cars in one US $4 500, 40ft container (flat rate)
Marine insurance	36	612	7,344	Insurance ~2–3% of car value. Includes exporter fee
Import duty	590	10,034	120,411	25% of CIF (FOB+freight+insurance)
VAT	378	6,422	77,063	16.5% of CIF
Port handling	0	2,000	24,000	Includes port storage (Increase by number of days in storage), clearing agent fees. This is a local service

Cost Item	Approx US$ per Car	Approx N$ per Car	Total N$ (12 Cars)	Notes
Registration	0	1,450	17,400	Includes roadworthy, registration and number plates

**Surcharges typically included in overall freight prices, but not displayed separately in the table for the sake of brevity, comprise Bunker Adjustment Factor, Emergency Bunker Surcharge and Exporter Terminal Handling Charge.*

**The USD to NAD exchange rate for this table is set at N$17.*

3.3 Repayment & Profit Sharing

Mr Sebby's investment will be treated purely as a capital contribution to the business. Once operations commence, following an estimated three-month procurement lead time for the arrival of imported vehicles, his capital contribution will be repaid in monthly instalments equal to an average 27% of Net Profit (Table 3). At that rate, the full investment amount is expected to be recovered in approximately 22 months. Thereafter, and for as long as the business remains solvent, he will continue to receive monthly payments at the same rate as a share of the business's profit (Table 5).

Dr Sebbi will receive an average 18.5% of gross profit in the form of monthly salary payments, an amount equivalent to the monthly repayment amount payable to Mr Sebby. From Dr Sebbi's salary, the business will also cover the salary of the additional staff member, as well as all scheduled maintenance costs. This arrangement has been made because Dr Sebbi plans to in-house all scheduled maintenance work. He also plans to add the import of car parts to the business's activities, thereby eliminating maintenance labour costs and substantially reducing the cost of car parts.

Any remaining profit, after these payments and other business obligations have been met, will be retained by the business for reinvestment and future growth (Table 4).

3.4 Association Agreement

The drafting and signing of the Association Agreement remain, pending the formal engagement of legal counsel. The terms of that agreement, however, will broadly follow those set out in the Template Association Agreement in Annexure A.

4 Products and Services

Molenzicht will offer imported second-hand passenger vehicles, primarily compact hatchbacks such as the Mazda Demio, to drivers under rent-to-own agreements. These vehicles will be roadworthy and will be operated exclusively on the Yango platform, which management has selected because of its strong presence in the Namibian ride-hailing market and the relative ease of using the application. The business will primarily source vehicles from second-hand dealers in Japan, as Japan is a suitable East Asian export market for affordable vehicles that align with Namibia's import requirements, specifically restrictions on the importation of left-hand-drive vehicles. To help ensure the quality of imported vehicles, auction inspection sheets will be requested from exporters to verify vehicle condition, accident history, and prior repairs.

Drivers will be registered through Modern Tours and Transfers CC ("Modern Tours"), a Namibia-based Yango partner, and will transport passengers in and around Windhoek at the rates determined by Yango. Registration through Modern Tours, however, is only a temporary arrangement until Molenzicht can establish its own partnership with Yango. Drivers will also be expected to make daily remittances to the business after deduction of operational costs such as airtime vouchers, fuel, and car-wash charges, where incurred. Such payments will be collected by the supervisor. These remittances will be applied toward prescribed monetary targets over defined periods, for example daily, weekly, and monthly targets. This is to ensure that each driver is able to settle the rent-to-own agreement (Section 6.3) within a maximum of 12 months.

5 Market Analysis

5.1 Industry Overview

Broad trade-profile tables for 2019–2024 issued by the Namibia Statistics Agency list motor vehicles for commercial purposes among the top high-value import products (nsa.org.na). This suggests a steady demand for vehicles, including light vehicles, in the country. Publicly verifiable statistics on Yango driver registrations in Namibia do not appear to be available. Modern Tours has, however, reported managing approximately 10,000 drivers to date since becoming a Yango partner (modern.com.na), following Yango's entry into Namibia in early 2023. This supports the commercial rationale for a rent-to-own vehicle business by indicating the existence of a substantial pool of active or prospective ride-hailing drivers.

Small rent-to-own retailers that may be perceived as Molenzicht's direct competition likely exist in practice, but detailed, verifiable public data (such as profit margins, driver

registration rates, fleet dynamics, and contract terms) is typically limited because many of these operators are not formally profiled beyond social media listings or informal referrals. As a result, benchmarking is more reliable against visible importers and identifiable platform partners than against micro-scale competitors.

5.2 Competition

Competition relevant to Molenzicht falls broadly into two categories, namely established used-vehicle importers such as Jan Japan Motors ("Jan Japan") and Maya Auto House, and ride-hailing fleet partners and transport operators such as Modern Tours. Note that due to limited access to independently verified public information on these competitors, most of the information outlined in the succeeding paragraphs is derived from company-published sources.

Jan Japan operates primarily as an international exporter of used Japanese cars and, to a lesser extent, tyres and electronics (janjapan.com). It has several import offices globally and six in Namibia that employs at least 110 people. Its operations date back to 1999, with its headquarters in Kobe, Japan. It therefore has a long history of exporting and importing used cars, but does not manage a driver fleet.

Like Jan Japan, **Maya Auto House** is known primarily for importing used Japanese cars and does not operate a driver fleet. Unlike Jan Japan, however, it has a far more limited public presence and appears to operate at a smaller scale, with no official records of its operations extending beyond the past five years. The company only maintains a presence in Namibia, with a total of two offices and fewer than 10 known staff members country-wide.

In contrast to the other two businesses, **Modern Tours**, listed mainly as a shuttle operator, does not import cars and does manage a driver fleet (modern.com.na). Modern Tours is another relatively new operator with a small workforce. In public sources, Modern Tours appears to have been established in early 2023, has two offices in Namibia, and employs 10 people. It is also reported to manage a fleet base of over 10,000 drivers, either as a Yango partner or through drivers operating vehicles within its own inventory.

In summary, rather than competing purely as a vehicle importer or a driver-fleet management operator, Molenzicht proposes an integrated business model. In particular, Molenzicht combines the importation of low-cost second-hand vehicles, their credit-based sale, and the structured oversight of driver operations and payment flows.

5.3 Target market

The business only targets individual buyers who will operate the vehicles as ride-share drivers under a structured rent-to-own arrangement. This customer group is shaped by labour-market constraints and limited access to formal credit.

Namibia's official unemployment rate for 2023 was reported at 36.9% (see Namibia Statistics Agency media statement), implying a large pool of job-seekers for whom self-employment or micro-entrepreneurship is attractive. Youth unemployment is also high by international benchmarks. For instance, the World Bank series shows unemployment rates of ~37% for ages 15–24 in 2024 (see World Bank Data for Namibia), aligning with the business's emphasis on younger, underbanked entrants into the transport economy.

Operationally, the addressable demand concentrates in urban areas where ride-hailing utilisation is likely highest. This focus is supported by recent national census records indicating that roughly half of Namibia's population is urban.

5.4 Regulations

The importation of second-hand motor vehicles from outside the southern Africa common customs area, as well as the operation of passenger vehicles, is subject to various regulations, licensing requirements, customs clearance procedures, and compliance with consumer safety standards. The most significant import regulations are the age restriction prohibiting the importation of second-hand vehicles older than 12 years and the restrictions on operating left-hand-drive vehicles in Namibia (see NamRA public notice). In addition to these requirements, an import permit, payment of import duties and VAT, and a customs clearance certificate are all required (see NamRA import guide).

In terms of post-import compliance requirements, a police clearance and SARPCCO certificate are required to verify the vehicles' lawful origin, a temporary clearance from NATIS is required to drive the cars to a roadworthy test centre, a roadworthiness certificate licence disc and number plates are required to operate the cars on Namibian roads, and public carrier and public drivers permits are required to lawfully transport passengers (see Roads authority registration requirements).

6 Marketing & Sales Strategy

6.1 Branding & positioning

Molenzicht will be positioned as an importer of affordable and reliable vehicles offered on rent-to-own terms, aimed particularly at customers who do not have adequate access to conventional finance. The business will target individuals who are willing to operate the vehicles for 12 months in order to generate the income needed to pay the monthly instalments toward ownership (Section 5.3)

6.2 Promotion Channels

A comprehensive promotion strategy for Molenzicht is largely unnecessary, since Yango has already employed effective marketing targeting urban riders and drivers following its launch. In its marketing, Yango has relied on digital channels, including app-store distribution, social media advertising, web landing pages, and local media launch announcements. Additionally, Yango's use of promotions such as "20% off the first 3 rides" for new users, as well as driver-side incentives including weekly and referral bonuses, has helped attract new users, encourage repeat use of the platform, and support driver recruitment and retention.

In its' own efforts, however, Molenzicht will employ a direct outreach approach to sourcing potential clients. This will be done by leveraging Dr Sebbi's knowledge of unemployed youth in various communities across the country who hold driver's licences. It will also draw on his knowledge of drivers currently operating vehicles as Yango drivers under arrangements that do not offer them the opportunity to acquire ownership after a contracted period. This information is derived in part from access to the driver databases of a few fleet partners. In addition, once Molenzicht has registered as a partner, a request can be made to Yango to list it on its platform as a partner with which to register or as a provider of vehicles offered under rent-to-own arrangements.

6.3 Pricing Strategy & Sale Process

The vehicles will be offered under rent-to-own agreements with values of at least twice their estimated resale value in the Namibian market. This amount, inclusive of income tax, represents the total gross profit per vehicle. For instance, using the sale price of N$85,000 for a 2015 Mazda Demio from Maya Auto House as a benchmark, this car will be placed under a rent-to-own agreement at a minimum value of N$170,000 by Molenzicht. The clients will then be expected to complete payment within a maximum

period of 12 months. To ensure that this target is met, Molenzicht will set monthly instalments of at least N$16,180. This valuation has been set below the asking prices commonly associated with comparable offerings from commercial operators and private individuals, in order to make vehicle ownership more attainable for drivers while maintaining the commercial viability of the business.

7 Operations & Management Plan

7.1 Organisational Structure

Molenzicht will employ only two people, namely a General Manager and an Operations Supervisor.

The **General Manager** will be responsible for the procurement and importation of vehicles, vehicle registration, and the general management of the business. He will also oversee the continuous monitoring, assessment, and reporting of financial performance and operational objectives (Annexure A).

The **Operations Supervisor** will be responsible for identifying suitable clients to take up the vehicles as drivers under the rent-to-own arrangement, registering them as Yango drivers through Molenzicht's preferred fleet partner, training them where necessary, supervising all drivers, arranging vehicle maintenance and repairs where necessary, and collecting payments.

7.2 Facilities, Assets & Equipment

A dedicated business premises will not be required, as the majority of the administrative work needed to operate this business can be done from home. Furthermore, notable assets will consist almost solely of the vehicles in the fleet. Extra hardware will, however, be purchased to enable DIY repairs and maintenance where appropriate and to ensure the security of the vehicles (Section 3.3). For DIY maintenance work, these items will include wheel spanners, spare wheels, various spare car parts, vehicle jacks, jumper cables, a toolset, and tow ropes. To help ensure vehicle security, dashboard cameras, tracking devices, and wheel lock nuts will also be purchased. The costs for all security features are included in the cost of importing the vehicles (Table 2).

A second-hand, Japanese e-commerce car exporter, of the kind listed on websites such as JapaneseCarTrade (www.japanesecartrade.com), Be Forward (www.beforward.jp), and SBT Japan (www.sbtjapan.com), will be used as the principal vehicle supply source. Contact with a preferred exporter through a trusted intermediary has already been

established. For the supply of tracking devices and dashcams, Dr Sebbi has built a strong business relationship with Car Track Namibia through the use of their products.

7.3 Operational Workflow

7.3.1 Import Process

Key initial import steps include sourcing compliant second-hand vehicles from a reputable exporter or auction agent, obtaining a pro forma invoice, arranging payment, and preparing for shipment to Walvis Bay. On arrival, a clearing agent will handle customs clearance and release of the vehicles. The vehicles will then proceed through the required local testing, registration, licensing, and permit stages before being placed into operation on the Yango platform.

7.3.2 Inventory management

A Structured Query Language (SQL) based database management system, such as the MySQL software product (www.mysql.com), will be used to track stock levels, payments received and reorder thresholds. The system will be used to record the purchase of each vehicle, supplier details, the latest restocking date, and the current quantity on hand. Furthermore, when retained profits exceed a preset threshold, the system will trigger a notification so that replacement orders can be processed in good time.

7.3.3 Service delivery & Customer support

Vehicles will be provided to individuals who enter into rent-to-own agreements with Molenzicht as stock becomes available. Once registered to Yango as drivers for Molenzicht, clients will receive monthly credit account statements showing payments made and balances outstanding.

All scheduled vehicle maintenance costs will be covered by Dr Sebbi's salary. Vehicle repair costs, particularly where they arise from general driver recklessness, will initially be paid from business funds in order to ensure that repairs are carried out promptly and that business operations continue uninterrupted, but will ultimately be charged to the drivers' accounts. For minor issues, such as the replacement/repair of flat tyres, drivers will be provided with free roadside assistance by the Supervisor.

8 Financial Plan

8.1 Projected Income Statement

Page over for the projected Income Statement in Table 3.

Table 3: Five-year forecast of income statement (Values in N$'000)

	Year				
	1	**2**	**3**	**4**	**5**
Gross Revenue (N$)	2,670	5,340	6,840	8,250	9,930
Cost of Sales (N$)	1,230	2,460	3,151	3,800	4,574
Fuel (N$)	1,157	2,314	2,964	3,575	4,303
Airtime (N$)	52	103	132	160	192
Carwash (N$)	21	43	55	66	79
Gross Profit (N$)	1,440	2,880	3,689	4,450	5,356
Gross Profit%	53.9	53.9	53.9	53.9	53.9
Operating Expenses (N$)	267	534	684	825	993
Salary (N$)	267	534	684	825	993
Operating Profit (EBIT) (N$)	1,173	2,346	3,005	3,624	4,363
Operating Profit%	43.9	43.9	43.9	43.9	43.9
Finance Expense (N$)	16	20	15	9	3
Income Tax (N$)	370	744	957	1,157	1,395
Net Profit (N$)	787	1,582	2,034	2,459	2,965
Net Profit%	29.5	29.6	29.7	29.8	29.9

**Airtime refers to the weekly airtime fees (N$290/car) required by Yango drivers to use the Yango platform, and the subscription fees (N$290/car) for the tracking devices.*

8.2 Projected Financial Position

Table 4: Five-year forecast of balance sheet (Values in N$'000)

	Year				
	1	**2**	**3**	**4**	**5**
			Assets		
Non-current assets (N$)	0	0	0	0	0
Current assets (N$)	1,052	1,420	1,905	2,129	2,575
receivables (N$)	0	0	0	0	0
stock on hand (N$)	780	1,200	1,740	1,980	2,340
cash balance (N$)	272	220	165	149	235
			Equity & Liabilities		
Equity (N$)	832	1,250	1,790	2,073	2,575
capital (N$)	500	500	500	500	500
retained profits (N$)	332	750	1,290	1,573	2,075
Non-current liabilities (N$)	170	116	55	0	0
Current liabilities (N$)	49	55	60	55	0
current loan portion (N$)	49	55	60	55	0
payables: materials (N$)	0	0	0	0	0
payables: other (N$)	0	0	0	0	0
Income Tax (N$)	0	0	0	0	0
profit distribution (N$)	0	0	0	0	0
Total equity and liabilities (N$)	1,052	1,420	1,905	2,129	2,575
Return on equity%	118	152	134	127	128
stock turn days	231	147	170	179	172
payables days - materials	0	0	0	0	0
payables days - other	0	0	0	0	0
working capital (N$)	1,003	1,366	1,845	2,073	2,575

	Year				
	1	**2**	**3**	**4**	**5**
Profit distribution pay-out ratio%	26	24	26	27	28
Total capex (N$)	780	1,200	1,500	1,740	1,980

**Payables to creditors are expressed as 0 because these values are fixed through rigid business protocol.*

8.3 Projected Statement of Cash Flows

Page over for the projected statement of Cash Flows (Table 5).

Table 5: Five-year forecast of cash flow (Values in N$'000)

	Year				
	1	**2**	**3**	**4**	**5**
Profit for the year	1,157	2,326	2,990	3,616	4,360
depreciation	0	0	0	0	0
working capital adjustment	0	0	0	0	0
Cash from Operations	1,157	2,326	2,990	3,616	4,360
Purchase of Plant, Property & Equipment	-780	-1,200	-1,500	-1,740	-1,980
owner/investor injections	250	0	0	0	0
loan received	250	0	0	0	0
loan repaid	-30	-49	-55	-60	-55
profit distribution	-204	-384	-534	-675	-843
taxation paid	-370	-744	-957	-1,157	-1,395
net movement in cash	272	-52	-55	-17	87
Opening bank balance	0	272	220	165	149
Closing bank balance	272	220	165	149	235

Note: The initial investor injection of N$250,000 is excluded from projected net cash movement because it represents start-up capital used to acquire and prepare vehicles before normal operations commence.

9 Risk Assessment & Contingency Plan

Molenzicht's rent-to-own retail model faces five principal risks. These include foreign exchange volatility across the NAD/JPY/USD; sudden increases in petrol prices; supply-chain disruptions, including limited auction availability, shipping delays, and extended clearing lead times; credit defaults by drivers and major road accidents; and intensified competition. Exchange-rate volatility and increases in petrol prices can increase the landed cost of imported vehicles, which may require the business to raise the prices charged to clients and can, in turn, make the offering less attractive. Supply-chain

disruptions can delay vehicle procurement, while credit defaults and major road accidents can reduce the effective fleet size, with both potentially weakening revenue-generating capacity and impairing expansion plans and overall financial performance. Finally, intensified competition can reduce the pool of available drivers and similarly constrain business expansion and financial performance, although probably to a lesser extent.

Molenzicht will implement trigger and cash-preservation based contingency plans and mitigation strategies for these principal risks. Where any indicator exceeds its pre-set threshold, management will immediately activate corrective measures, including reducing the size and frequency of import orders, sourcing from alternative suppliers, procuring cheaper vehicles, reviewing prices for new contracts only, tightening driver screening, accelerating repossession or reassignment of affected vehicles, and drawing on cash reserves to maintain operational continuity. This approach is intended to protect cash flow, preserve fleet functionality, and limit further exposure while conditions remain unstable. Although holding excess cash may, over time, reduce value in real terms because of inflation, the immediate priority during periods of stress is to preserve liquidity so that the business can meet its obligations and continue operations. Where conditions deteriorate further, Molenzicht will suspend new vehicle allocations and expansion-related imports until collections, fleet availability, and demand return to acceptable levels. Once the relevant indicators remain within approved limits for a defined recovery period, such as two or three consecutive months, the business will progressively deactivate these measures and resume normal procurement and expansion in phases.

Annexure

Annexure A: Template Association Agreement

The template Association Agreement is attached in the pages that follow.

Template Association Agreement

1. Parties

This Membership / Association Agreement is entered into between:

1.1 **Dr Sebbi Lenga Agarob Kankondi** ("Dr Sebbi"); and
1.2 **Mr Sebby Inotila Kankondi** ("Mr Sebby"),

being the only members of **Molenzicht CC** ("the Corporation").

2. Purpose of the Corporation

The Corporation shall conduct the business of importing second-hand motor vehicles, landing and registering such vehicles in Namibia, and placing such vehicles into a rent-to-own operating fleet, together with all ancillary activities reasonably related thereto.

3. Member Interests, Profit Share and Voting Rights

3.1 Each Member shall hold a **50% member's interest** in the Corporation.

3.2 Subject to lawful reserves, operating costs, taxes, finance obligations, and solvency requirements, each Member shall be entitled to **50% of distributable profits**.

3.3 Each Member shall have equal decision-making rights at member level in relation to the strategic affairs of the Corporation.

3.4 Decisions requiring the approval of both Members shall include, at minimum:

(a) any change to the Corporation's principal business or business model;

(b) approval of annual budgets and business plans;

(c) the sourcing strategy for imported vehicles, including core suppliers and major shipping arrangements;

(d) new loans or asset finance;

(e) approval of standard rent-to-own terms, pricing models, and repossession policies;

(f) the purchase, sale, write-off, or disposal of fleet vehicles outside the approved budget;

(g) opening new branches or materially expanding operations;

(h) appointment or removal of key management staff, including the General Manager and Supervisor;

(i) settlement of major litigation or regulatory matters;

(j) admission of any new member or transfer of any member's interest; and

(k) any sale of all or a substantial part of the Corporation's business or assets.

4. Role of Mr Sebby Kankondi

4.1 Mr Sebby's primary role shall be that of capital-contributing member and strategic decision-maker at member level.

4.2 Other than his financial contribution and his rights as a Member, Mr Sebby shall not be required to participate in the day-to-day running, administration, supervision, or operational management of the Corporation.

4.3 Without limiting clause 4.2, Mr Sebby shall not be responsible for routine staff supervision, daily customer management, vehicle sourcing execution, customs or port processes, fleet deployment, collections, maintenance scheduling, or daily compliance administration, unless both Members agree otherwise in writing.

5. Role of Dr Sebbi Kankondi as General Manager

5.1 Dr Sebbi shall serve as the **General Manager** of the Corporation.

5.2 Dr Sebbi shall be responsible for setting up, establishing, and implementing all operations and management functions of the business.

5.3 His duties shall include, without limitation:

(a) establishing the operating structure, systems, controls, and reporting lines of the Corporation;

(b) sourcing vehicles and managing relationships with exporters, auction agents, shippers, clearing agents, insurers, banks, and service providers;

(c) overseeing import logistics, customs clearance, port handling, registration, licensing, and insurance processes;

(d) establishing and managing rent-to-own contracts, customer onboarding, payment controls, repossession procedures, and fleet allocation;

(e) recruiting, supervising, and managing staff;

(f) implementing accounting, record-keeping, compliance, risk-management, and internal-control systems;

(g) preparing budgets, management reports, cash-flow forecasts, and recommendations for member approval;

(h) ensuring the fleet is maintained, serviced, roadworthy, insured, and commercially utilized; and

(i) performing all other functions reasonably necessary for the lawful and efficient operation of the Corporation.

6. Distributions, Drawings and Retained Earnings

6.1 Any payment to either Member by reason only of membership shall be made only if the Corporation remains solvent and able to pay its debts in the ordinary course of business.

6.2 Part of the profits will be retained in the Corporation primarily for fleet growth, and, where necessary, for maintenance reserves, contingencies, tax obligations, or debt reduction.

6.3 No Member may demand a distribution if such payment would place the Corporation under financial strain or place it in breach of law, finance terms, or material business obligations.

7. Good Faith and Fiduciary Conduct

Each Member shall act honestly, in good faith, and in the best interests of the Corporation, shall disclose any material conflict of interest, and shall not compete with the Corporation or derive undisclosed personal benefit from its business opportunities.

8. Dispute Resolution

8.1 Any disagreement shall first be addressed in a private good-faith meeting between the Members within **7 days** of written notice of the dispute.

8.2 If the dispute is not resolved within **14 days** thereafter, the Members shall refer the matter to a mutually agreed independent mediator in Namibia.

8.3 If mediation fails, the Members may refer the matter to confidential arbitration in Namibia, or to the competent Court, depending on the urgency and the nature of the relief required.

8.4 Pending resolution, both Members shall continue to act in a manner that protects the business, preserves mutual respect, and avoids public or operational disruption.

8.5 In the event of a deadlock on a reserved matter, neither Member may unilaterally implement the disputed decision.

9. Transfer Restrictions

9.1 No Member may sell, cede, assign, pledge, encumber, or otherwise transfer all or any part of his member's interest without the prior written consent of the other Member.

9.2 A Member wishing to exit shall first offer his interest to the remaining Member on written notice.

9.3 The remaining Member shall have a right of first refusal to acquire the exiting Member's interest on a value agreed between them, failing which the value shall be determined by the Corporation's accounting officer or, if necessary, an independent Namibian accountant agreed by the Members.

9.4 No transfer may be made to a competitor, an unsuitable nominee, or any person who would prejudice the business, unless the remaining Member expressly agrees in writing.

9.5 Any approved transfer shall be subject to completion of all required corporate filings and amendment of the founding statement.

10. Exit Obligations of Members

10.1 A Member wishing to exit shall give not less than **90 days' written notice**, unless the Members agree otherwise.

10.2 An exiting Member shall cooperate fully in the handover of all records, passwords, contracts, keys, banking information, customer information, supplier contacts, and Corporation property in his possession or control.

10.3 An exiting Member shall remain bound by confidentiality in respect of the Corporation's business, customers, pricing, systems, and suppliers.

10.4 The exiting Member shall sign all documents reasonably required to give effect to the transfer, amendment of the founding statement, and release or reallocation of any guarantees or obligations, to the extent such release is obtainable.

10.5 Until the exit is legally completed, the exiting Member shall continue to comply with this Agreement and shall not obstruct the business or interfere with staff, customers, or suppliers.

11. Death, Incapacity or Serious Misconduct

If a Member dies, becomes permanently incapacitated, or commits serious misconduct materially prejudicial to the Corporation, the remaining Member shall have the first right to acquire that Member's interest on fair value terms, subject to law and the rights of the estate or any competent court order.

12. Records and Meetings

12.1 The Corporation shall maintain proper accounting records, management accounts, and minutes of all member decisions.

12.2 Ordinary member meetings shall be held at least quarterly, and urgent decisions may be taken by written resolution signed by both Members.

13. Entire Agreement and Amendment

This Agreement records the full internal arrangement between the Members and may be amended only in writing signed by both Members.

14. Governing Law

This Agreement shall be governed by the laws of the Republic of Namibia.

Signed _____ at _____ on _____
by **Dr Sebbi Lenga Agarob Kankondi**

Signed _____ at _____ on _____
by **Mr Sebby Inotila Kankondi**